



SUMMARY REPORT

Agenda Date: 12/10/2019

To: Board of Directors, Sonoma County Agricultural Preservation and Open Space District
Department or Agency Name(s): Sonoma County Agricultural Preservation and Open Space District
Staff Name and Phone Number: Stephanie Tavares-Buhler, 565-7362
Vote Requirement: 4/5th
Supervisory District(s): District 2

Title:

Jacobsen Ranches Conservation Easement

Recommended Action:

Adopt a resolution of the Board of Directors of the Sonoma County Agricultural Preservation and Open Space District to:

- A) Authorize up to \$2,950,000 and escrow costs for the acquisition of the Jacobsen Ranches property conservation easement;
 - B) Determine that the acquisition is consistent with the Sonoma County Agricultural Preservation and Open Space District's Expenditure Plan;
 - C) Make certain determinations pursuant to the California Environmental Quality Act;
 - D) Authorize all other actions to complete this transaction.
- (Second District) (4/5th Vote Required)

Executive Summary:

The Sonoma County Agricultural Preservation and Open Space District is proposing to purchase a conservation easement over the 126.75-acre Jacobsen Ranches property outside Petaluma. The conservation easement will protect the scenic, natural resource, and agricultural values of the property and will support a greenbelt on the west side of Petaluma. It is located across Spring Hill Road from the Pacheco Dairy conservation easement held by The Sonoma County Agricultural Preservation and Open Space District and is near Sonoma County's Helen Putnam Regional Park.

Discussion:

PROPERTY CHARACTERISTICS/PROJECT SIGNIFICANCE

The Jacobsen Ranches project (Project) is the proposed acquisition of a conservation easement over a 126.75-acre property comprised of three legal lots - two owned by the family trust and one owned by a family corporation with four shareholders. The Jacobsen Ranches (Ranch) is located along Spring Hill Road and Chapman Lane, west of the city of Petaluma near Helen Putnam Regional Park. Portions of the Ranch have been in the Jacobsen family for more than 100 years and have been used as a dairy, slaughterhouse, and for grazing beef cattle. The Ranch property is one of the first open ranch properties west of the city, and its immediate neighborhood is characterized by open ranches to the west and south, with rural residential development, equestrian facilities, preschools, and small Christmas tree farms generally to the north and east. It is located across Spring Hill Road from the Pacheco Dairy conservation easement.

The terrain on the Ranch property is generally rolling with limited flat areas; the elevation ranges from 458 feet above sea level, near the developed area in the southwest corner, to 153 feet above sea level, in the drainage at the opposite end of the property. The Ranch is home to a prominent chert rock outcrop, sometimes called Cathedral Rock, which is highly visible from Spring Hill Road and is popular with photographers and *plein air* painters. Spring Hill Road is also a popular cycling route.

About 87 acres in the south part of the Ranch are considered “Essential” for conservation by the Conservation Lands Network, and the Ranch is within an identified critical habitat linkage connecting lands from western Marin County to Lake Sonoma. The oak woodlands located below the pond and along the northern part of the eastern property line include beautiful large trees. The chert outcrop area hosts a highly diverse native plant community. Gibson Creek - a Sonoma County General Plan-designated stream - flows across the property, and the drainages on the property are within both the Petaluma Super Planning Watershed (about 121 acres) and the Upper San Antonio Creek Planning Watershed (about 4 acres). Both watersheds flow into the Petaluma River - a priority watershed under the Acquisition Plan, which calls for The Sonoma County Agricultural Preservation and Open Space District (Ag + Open Space) to focus on protection of contiguous areas of high quality riparian habitat, adjacent uplands, and wetlands critical to protecting watershed values, fish and wildlife habitat and water quality in the watershed. (See Acquisition Plan, p. 21.) About 10 acres of the Ranch are part of a major groundwater basin.

There are currently four primary residences on this property, plus one ancillary residential structure, as well as barns, sheds, and corrals used for the cattle grazing operation. The property is not subject to a Williamson Act contract and is considered at high risk of conversion to rural residential development due to its location, development potential under current zoning, and the advanced age of the owners.

PROJECT STRUCTURE

The conservation easement will cover all lots comprising the Ranch, which serves as an important greenbelt on the west side of Petaluma. It will protect the natural resources, scenic values, and agricultural resources on the property by prohibiting separate sale or further subdivision, limiting uses in the natural areas, and capping development at its current level. The easement permits the owners to retain four primary development rights associated with existing houses on the property, extinguishing the remaining development rights. All structures will be restricted to designated building envelopes surrounding existing compounds, with an exception for limited future ancillary agricultural structures that may only be built after receiving Ag + Open Space approval. The chert rock outcrop area and the creeks and drainages will be protected as Natural Areas with increased restrictions on use and requiring a management plan within three years. The remainder of the property may be grazed with livestock and the flat pastures alongside Chapman Lane will be designated as an “unlimited agriculture area” where cultivated agriculture will be permitted for food production.

The sale of the conservation easement to Ag + Open Space is part of the Jacobsen’s broader estate-planning, which is aimed at preserving their legacy of caring for and stewarding these highly scenic lands on the urban edge. They have already encumbered their nearby 491-acre Marin County ranch with a conservation easement as part of this plan. The couple has agreed to use money from the sale of this conservation easement to buy-out shares in the family corporation that own part of this ranch so that they can unify ownership of all parcels and pass it as a single unit to the next landowner. The Easement requires that once ownership of all parcels is united, the property remain under a single ownership. Walter and Arleen Jacobsen

are in their mid- and late- nineties and fear that if the property is not conserved with a conservation easement before their deaths, a future owner could divide the Ranch and develop it.

CONFORMANCE WITH ADOPTED PLANS

Connecting Communities and the Land

The Project furthers objectives in Ag + Open Space's acquisition plan in multiple categories as noted below:

- **Greenbelts and Scenic Hillside**s, specifically to protect lands with prominent natural features that contribute to the unique identity of a community, protect lands visible from highly traveled roads that contribute to the rural character and sense of place, protect lands that have unique open space features that are essential to preserving the county's distinct visual character.
- **Water, Wildlife and Natural Areas**, specifically to preserve natural systems and lands that provide viable habitat linkages for wildlife.
- **Farms and Ranches**, specifically to protect agricultural lands near the urban edge and to preserve the diverse agricultural character and heritage of Sonoma County.

Sonoma County General Plan 2020

The Project furthers several goals and policies in Sonoma County's General Plan 2020, specifically in the Land Use, Open Space and Resource Conservation, Agricultural Resource, and Water Resources Elements including the following:

- Maintain important open space areas between and around the county's cities in a largely open or natural character with low intensities of development. (Goal LU-5)
- Protect land currently in agricultural production and lands with soils and other characteristics that make them potentially suitable for agricultural use. Retain large parcel sizes and avoid incompatible non-agricultural uses. (Goal LU-9)
- Preservation of important scenic features. (Goal LU-10)
- Encourage conservation of undeveloped land, open space, and agricultural lands, protection of water and soil quality, restoration of ecosystems, and minimization or elimination of the disruption of existing natural ecosystems and flood plains. (Policy LU-11f)
- Identify and preserve roadside landscapes that have a high visual quality as they contribute to the living environment of local residents and to the County's tourism economy. (Goal OSRC-3)
- Maintain connectivity between natural habitat areas. (Objective OSRC-7.5)
- Reduce economic pressure for conversion of agricultural land to non-agricultural use. (Objective AR-2.4)
- Use voluntary purchase or transfer of development rights programs to limit intrusion of residential development into agricultural lands. (Policy AR-2d)
- Maintain the maximum amount of land in parcel sizes that a farmer would be willing to lease or buy for agricultural purposes. (Goal AR-3)

Ag + Open Space's Expenditure Plan

The Project is consistent with Ag + Open Space's Expenditure Plan because it preserves scenic landscape units and scenic corridors, agriculturally productive land, and biotic habitat areas.

APPRAISAL AND FISCAL OVERSIGHT COMMISSION

Appraiser Wayne Harding prepared a full narrative appraisal of the Jacobsen Ranches conservation easement with a date of valuation of March 8, 2019. The appraiser determined that the highest and best use of the property was for a minor subdivision into up to eight lots over the Corporation Parcel (zoned AR with 5-acre minimum lot size), and then sell the Ranch as up to ten rural residential home sites. The appraiser concluded the estimated market value of the conservation easement was \$2,950,000.

Ag + Open Space staff reviewed the appraisal and concluded it met the Appraisal Standards and Guidelines. The Fiscal Oversight Commission reviewed and accepted the appraisal at its August 8, 2019 meeting (Resolution # 2019-004).

PURCHASE AGREEMENT AND PURCHASE PRICE

The landowners and Ag + Open Space have negotiated a purchase of the conservation easement at full appraised fair market value

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of \$2,950,000 contingent upon Board of Directors approval, standard contingencies, and the following conditions: 1) Walter and Arleen Jacobsen will purchase all shares not held by them in the family corporation that owns the Corporation Parcel on or before closing, 2) Walter and Arleen Jacobsen will execute binding legal documents on or before closing requiring dispensation of the Corporation Parcel into common ownership with the remainder of the property upon or before the deaths of Walter and Arleen Jacobsen, and 3) merge all similarly zoned parcels into a single legal lot on or before closing.

Escrow/Closing

Close of escrow for the acquisition of the property is on or before the end of this fiscal year (June 30, 2020).

CEQA

The project is categorically exempt from CEQA pursuant to State Guidelines Section 15325(a) & (b), which exempts from CEQA the acquisition, sale, or other transfer of interest in land by a public agency for the preservation of natural conditions existing at the time of transfer, including plant and animal habitats, and for continuing agricultural use of the land. In the alternative, this project is exempt from CEQA pursuant to State Guidelines Section 15317, which exempts from CEQA the acceptance of easements in order to maintain the open space character of an area. The project is also exempt under Guidelines Section 15061(b)(3).

Prior Board Actions:**FISCAL SUMMARY**

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses	\$2,950,000		
Additional Appropriation Requested	0		
Total Expenditures	\$2,950,000		
Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other	\$2,950,000		
Use of Fund Balance			
Contingencies			
Total Sources	\$2,950,000		

Narrative Explanation of Fiscal Impacts:

Ag + Open Space has adequate appropriations in its FY 19-20 budget for the entire \$2,950,000 conservation easement acquisition contribution.

Staffing Impacts:			
Position Title (Payroll Classification)	Monthly Salary Range (A-I Step)	Additions (Number)	Deletions (Number)

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Narrative Explanation of Staffing Impacts (If Required):

Attachments:

1. General Plan Map 2020
2. Location Map
3. Site Map
4. Resolution

Related Items “On File” with the Clerk of the Board:

1. Certificate of Acceptance
2. Notice of Exemption
3. Conservation Easement